TRENDS

INSURANCE POLICIES TO GO PAPERLESS

By the end of this year, all new insurance policies are likely to be available in demat form

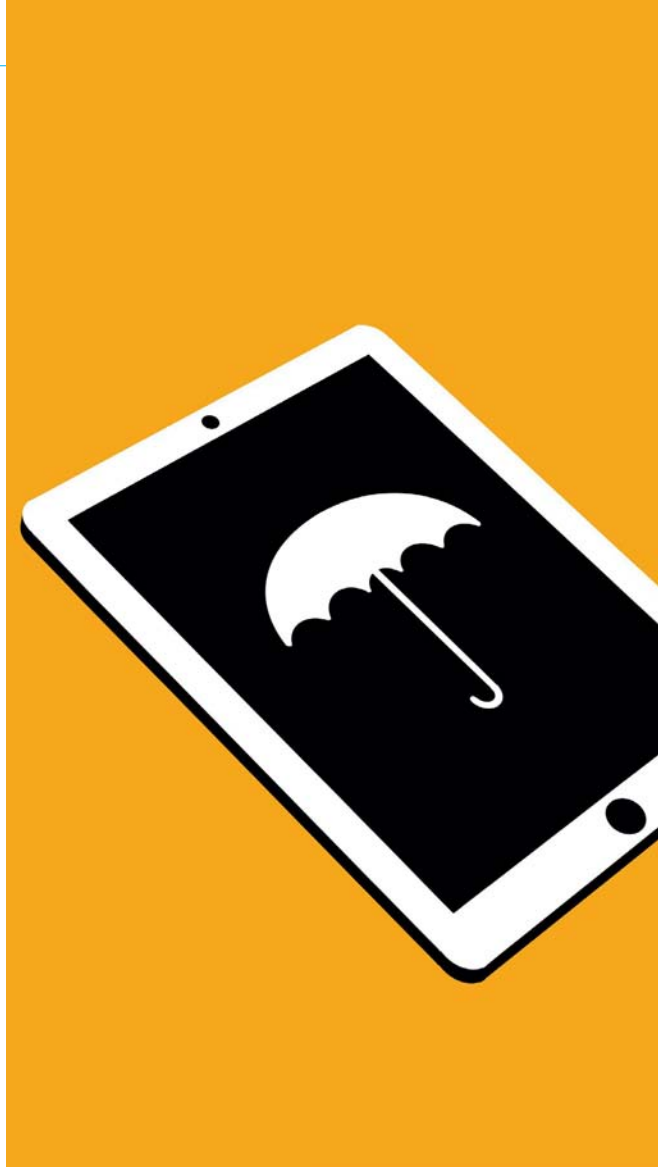


Illustration by SIDDHANT JUMDE

The Insurance Regulatory and Development Authority of India (IRDAI) is exploring ways to make it mandatory for all new insurance policies issued from December 2022 to be in dematerialised form. While insurers and other stakeholders are mulling the decision, insurance in demat form is not new. In 2013, the concept of insurance policies in demat format was introduced with repositories such as CAMS Repository, Karvy, NSDL Database Management Limited (NDML) and the Central Insurance Repository of India setting up operations to facilitate the opening of e-insurance accounts (eIA).

However, unlike the demat form of stock holdings, which took off when it was made compulsory and earned wide acceptance, insurance repositories (IR) haven't met with the same degree of success. In fact, there were five repositories originally, including SHCIL Projects, which subsequently gave up its licence due to the tepid response. As policyholders had the option to hold the policy in physical or digital form, they chose to opt for the former, with intermediaries and insurers too not in favour of policyholders keeping their policies in a digital form due to the cost involved per policy for the insurer each time policyholders expressed a desire to hold their policy in demat form. These are costs that have been agreed upon between IRs and insurers for each transaction type and which can vary based on transaction volume.

HOW AN INSURANCE REPOSITORY WORKS

Dematerialisation per se means converting physical holdings into a digital form. It is the job of the IR to keep insurance policies in electronic form and undertake changes, modifications and revisions in the insurance policy with speed and accuracy. The IR is granted a certificate of registration by the IRDAI for maintaining the data of insurance policies in their electronic form on behalf of the insurers. Insurance companies can upload the policy details of the customer on the IR's portal to enable them to view the same with the help of an eIA.

The purpose of the IR is to bring efficiency, transparency and cost reduction in the issuance and maintenance of insurance policies. In this way, it becomes a one-stop point for various policy-related services. However, the IR is not a route to sell insurance policies. All individuals have to have an eIA to have all their policies in demat form.

The eIA safeguards the insurance policy documents of policyholders in an electronic form. It allows policyholders to access all their insurance holdings in a single place. Each eIA has a unique account number and each account holder has a unique login ID and pass-

THE DEMAT INSURANCE ACCOUNT WILL PROVIDE A ONE-STOP WINDOW FOR POLICYHOLDERS TO VIEW ALL THEIR INSURANCE POLICIES—LIFE, HEALTH, VEHICLE AND OTHERS